

Monopsony in Labour Markets: Competitive vs. Monopolistic Product Markets

1. Monopsony with a Perfectly Competitive Product Market

Labour Demand

In a perfectly competitive product market:

$$P = MR$$

Therefore the **value of the marginal product of labour** equals the **marginal revenue product**:

$$VMP_N = MRP_N$$

Thus the labour demand curve is:

$$N^D = VMP_N$$

This is the downward-sloping demand curve shown in the diagram.

Labour Supply to the Firm

The firm faces an upward-sloping labour supply curve:

$$N^S$$

This curve represents the **average cost of labour (AC)**.

Because the firm must raise wages to attract additional workers, the **marginal cost of labour** lies above the supply curve:

$$MCL > N^S$$

Monopsony Equilibrium

The monopsonist chooses employment where:

$$MCL = VMP_N$$

This determines employment:

$$N_M$$

The wage paid to workers is determined from the supply curve:

$$W_M$$

Competitive Benchmark

If the labour market were perfectly competitive:

$$N^S = N^D$$

which determines the competitive outcome:

$$(N_C, W_C)$$

Key Result

$$N_M < N_C$$

$$W_M < W_C$$

Thus monopsony leads to:

- lower employment
- lower wages

relative to the competitive labour market.

2. Monopsony with a Monopolistic Product Market

Now suppose the firm also has **market power in the product market**. A monopolist faces a downward-sloping demand curve, so:

$$MR < P$$

Labour Demand

The marginal revenue product becomes:

$$MRP_N = MR \times MPN$$

Since:

$$MR < P$$

it follows that:

$$MRP_N < VMP_N$$

Thus the labour demand curve shifts **downward** relative to the competitive product market case.

Monopsony Equilibrium

The firm hires labour where:

$$MCL = MRP_N$$

This determines employment:

$$N'_M$$

The wage is again determined from the supply curve:

$$W'_M$$

Competitive Benchmark

If the labour market were competitive (while the product market remained monopolistic):

$$N^S = MRP_N$$

which determines:

$$(N'_C, W'_C)$$

3. Comparison of the Two Cases

Feature	Competitive Product Market	Monopolistic Product Market
Labour demand	$N^D = VMP_N$	$N^D = MRP_N$
Relationship	$VMP_N = MRP_N$	$MRP_N < VMP_N$
Position of demand curve	Higher	Lower
Employment	Higher	Lower
Wage	Higher	Lower

4. Key Economic Insight

Two types of market power reduce labour market outcomes.

Labour Market Power (Monopsony)

Monopsony creates:

- lower wages
- lower employment

because firms face an upward-sloping labour supply curve.

Product Market Power (Monopoly)

Product market power further reduces labour demand because:

$$MR < P$$

which lowers the marginal revenue product of labour.

5. Overall Result

When a firm has **both monopsony power and monopoly power**, labour outcomes are further distorted.

Employment ranking:

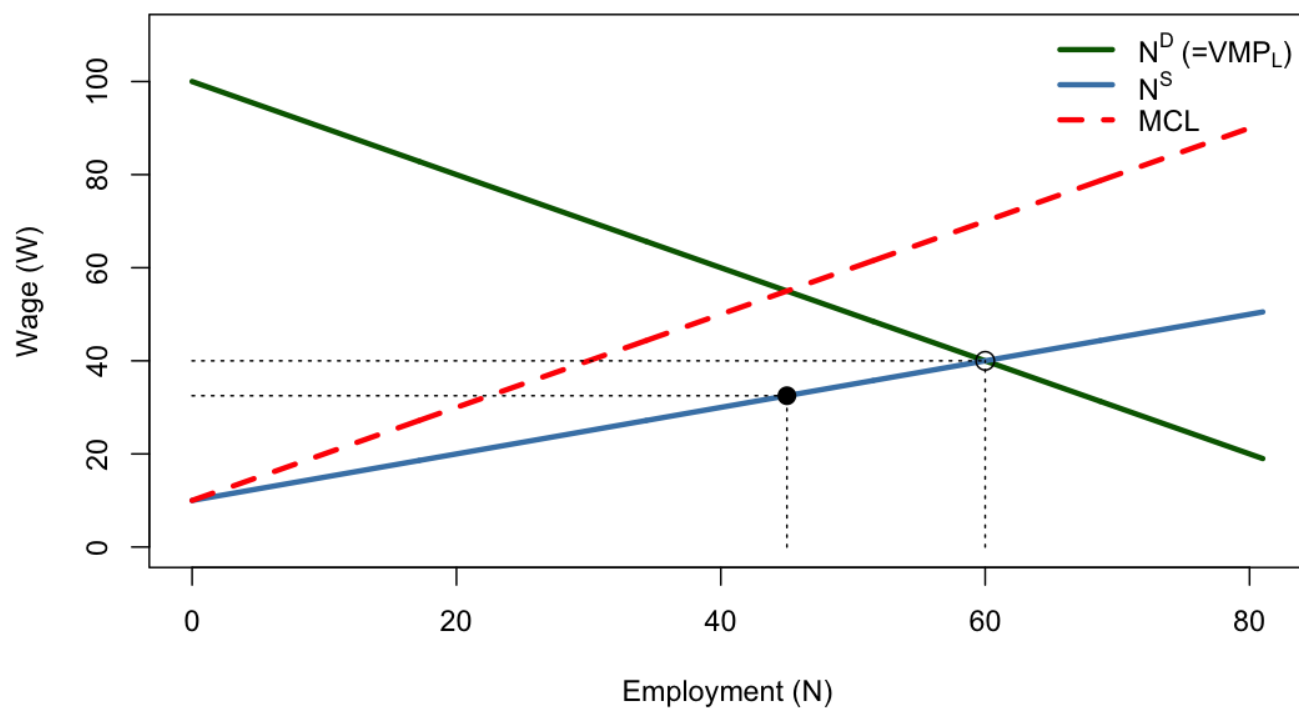
$$N'_M < N_M < N_C$$

Wage ranking:

$$W'_M < W_M < W_C$$

Thus the lowest wages and employment occur when firms have power in both labour and product markets.

Monopsony with Competitive Product Market



Monopsony with Monopolistic Product Market

